

BEFORE THE FEDERAL MARITIME COMMISSION

Docket No. 24-19

PELTON INTERACTIVE, INC.

v.

FLEXPORT INTERNATIONAL LLC

RESPONDENT’S REPLY MEMORANDUM IN FURTHER SUPPORT OF ITS MOTION
FOR JUDGMENT ON THE PLEADINGS

COMES NOW, Respondent, Flexport International LLC, by and through its undersigned counsel, and files this, its Reply Memorandum in Further Support of its Motion for Judgment on the Pleadings¹ and in support thereof states as follows:

I. Preliminary Statement.

In response to Flexport’s Motion for Judgment on the Pleadings (“Motion”), Peloton filed a cross-motion to strike the Motion and included therein an alternative Response to the Motion (hereinafter “Peloton Motion”). In its latest submission, Peloton completely obfuscates the record and utterly misrepresents its cited case law. Peloton’s Motion/Response is nothing but a repetitive, unsupported argument which not only demonstrates its apparent lack of comprehension of the Motion itself, but of basic litigation practice.

In short, it is Peloton’s position that Flexport has “flouted” the Scheduling Order because it dared to file a motion for judgment on the pleadings which was not mentioned in the Scheduling

¹ This shall also serve as Flexport’s Response to Peloton’s “Cross-Motion to Strike”. Peloton’s filing is confusing in that it contains both its own motion and a response to Peloton’s Motion. As a Reply to its Motion, Flexport is limited to 15 pages. But as a response to the cross-motion, Flexport is limited to 15 pages. Since Flexport needs to respond / reply to both, it respectfully submits that it be afforded an additional two (2) pages.

Order. [Peloton Motion at p. 6]. Of course, no actual support is provided for this incredible proposition.

II. Discussion.

a. Peloton's Attempt to Meet and Confer.

As a preliminary matter, Flexport must unfortunately address the issue of Peloton's arguments regarding its attempts to meet and confer as to its motion to strike.

Peloton states that "in connection with [its] cross-motion, it sought Flexport's agreement to withdraw the Motion for Judgment motion and requested a meet and confer on November 11...[and that] while the parties exchanged emails on November 12, Flexport declined to hold a meet and confer claiming by email that there was no good faith basis for the motion and no good faith effort to confer on the motion." [Peloton Motion at p. 10-11].

However, the undersigned certifies that not a single email or phone call was exchanged between the parties on either November 11 or 12, 2024.

It is possible that this was a typo, and counsel for Peloton meant to say December 12. The parties did indeed exchange emails discussing a meet and confer – but those emails mainly concerned the belated request to modify the Scheduling Order. [Doc 23]. Nevertheless, this request to meet and confer came at 6:15pm – the night before Peloton filed its 25-page motion to strike. Further, this request came at a time when Peloton's counsel was well aware that Flexport was incredibly busy gathering nearly 40,000 documents to respond to Peloton's discovery requests which were due that Friday. Flexport did not decline to meet and confer. Rather, the undersigned promptly responded that he was incredibly consumed with preparing the response to Peloton's discovery requests and that he would advise as to his availability later in the day.

Specifically, the undersigned advised:

I will need to get back to you about availability this afternoon. As I am sure you are aware, we are busy gathering the voluminous documents to respond to Peloton's discovery requests. Respectfully, requesting this meet and confer at 6:15 day before the motion is to be filed is not conducive to having a good faith discussion as required. There is absolutely no reason why this request could not have been made much, much earlier.

The undersigned also advised: "Regarding the motion, Chris Nolan threatened to file a motion to strike over a month ago. So there was no legitimate reason to wait until last night to ask for a meet and confer."

Indeed, on October 28, 2024, counsel for Peloton wrote:

"In light of the strict deadlines in the Order, if Flexport is even considering filing a motion for judgment on the pleadings as it has done in the Giti proceeding, Peloton will immediately look to meet and confer and reserves the right to move to strike the motion."

The undersigned responded that same day, asking counsel for Peloton to advise the basis for moving to strike a motion for judgment on the pleadings, which has not been filed. In response, counsel for Peloton referred to the Scheduling Order and that he had "looked at the issue and case law". The undersigned again asked counsel for Peloton to advise specifically how the order precludes Flexport from filing the motion and the rule where a party can strike a pleading, rather than a motion. No response was provided, so the undersigned followed up the next day – and the day after that, having received no further response – but advising that I was available to meet and confer the next day. And, indeed, the parties did meet and confer – on the joint scheduling order. Counsel for Peloton did not raise any issue with respect to the Motion.

The motion for judgment on the pleadings was filed on November 27, 2024. The request to meet and confer only came on the evening of December 12, 2024 – the night before the response

deadline. There is no legitimate basis why the request to confer could not have been made earlier for a 25-page motion which had clearly already been prepared.

To be clear, it should not even be necessary to expend so much effort in responding to “meet and confer” efforts. But it is, unfortunately, yet another reflection of Peloton’s attempts to misdirect the Commission as to the purported dilatory tactics of Flexport, which directly bear on the instant Motion.

As such, the cross-motion to strike should be disregarded and denied.

b. The motion is neither frivolous nor inappropriate.

Peloton presents a confusing hodge-podge of accusations against Flexport which are quite frankly difficult to believe have been presented.

Peloton proclaims that striking the Motion “is an appropriate remedy for Flexport’s use of frivolous motion practice in its continued efforts to derail this proceeding.” [Peloton Motion at p. 2]. As previously set forth in its response to the motion to extend documents production deadline [Doc. 25], there is no basis that Flexport is attempting to “derail” anything.

But the entire basis for Peloton’s claim that the Motion is frivolous is that Flexport is not entitled to file a Motion for Judgment on the Pleadings because: (1) Flexport has already filed a motion to dismiss and (2) the Scheduling Order did not make any mention of the Motion.

That needs to sink in for a moment because that is Peloton’s entire argument.

Of course, Peloton provides absolutely no legal basis to support its argument – because it just makes no sense. Clearly a Scheduling Order is designed to advise as to pertinent deadlines – and not an outline of any and all motions which can possibly be filed. Indeed, there is no dispositive motion deadline in the Scheduling Order at all. Clearly, motions for judgment on the pleadings are

contemplated by the Commission's Rules and are often filed in proceedings, even when a motion to dismiss has been filed.

As 46 C.F.R. § 502.69(g) provides:

(g) Dispositive and non-dispositive motions defined. For the purpose of these rules, *dispositive motion* means **a motion for decision on the pleadings**; motion for summary decision or partial summary decision; **motion to dismiss** all or part of a proceeding or party to a proceeding; motion for involuntary dismissal; motion for initial decision on default; or any other motion for a final determination of all or part of a proceeding. All other motions, including all motions related to discovery, are non-dispositive motions. (emphasis added).

Thus, clearly both a motion to dismiss and a motion for judgment on the pleadings are contemplated by the Commissions Rules.

This is further reflected in Fed R. Civ. P. 12, which provides for a motion to dismiss under 12(b) as well as a motion for judgment on the pleadings in 12(c):

Rule 12(c) expressly provides:

Motion for Judgment on the Pleadings. After the pleadings are closed—but early enough not to delay trial—a party **may** move for judgment on the pleadings. (emphasis added)

Peloton does not argue that the pleadings have not been closed, nor that the Motion was filed too late so as would delay the trial. As such, clearly Flexport is entitled to file its Motion. Peloton only argues that since the Scheduling Order did not expressly provide for the filing of same, that this somehow transformed into a prohibition against Flexport to file the Motion, which, by its action, is “flouting the Scheduling Order”. [Peloton Motion at p. 6].

Undaunted, Peloton then provides “legal support” for its position. However, it is difficult to understand from Peloton's submission what cases it is relying upon. Flexport refers to page 7 of the Peloton Motion, in which Peloton cites to the Scheduling Order, page 2, which had cited four

cases (divided into two sets) for the proposition that a scheduling order is not a frivolous piece of paper and the authority of courts to control their own dockets is well settled. Flexport, of course, takes no issue with either of these holdings.

But then Peloton makes two statements against Peloton and merely cites to “Id.” with respect to same:

Whether Flexport intended to file the Motion for Judgment at the time of the Joint Status Report, but decided to omit raising it with Peloton counsel or the Presiding Officer at the time, or chose to disregard the Scheduling Order later, Flexport “cavalierly disregarded” the Scheduling Order when it filed the Motion for Judgment three weeks later on the eve of Thanksgiving, in the midst of an aggressive discovery schedule. *Id.*

The Presiding Officer, with full control over the docket in this proceeding, has the authority to dispense with unscheduled motion practice and strike the Motion for Judgment from the record so that the parties can proceed with relevant, targeted discovery. *Id.*

[Peloton Motion at p. 7].

Flexport has no idea whether the “Id” refers to the Scheduling Order or the cases cited therein. What is clear, however, is that the cases have nothing whatsoever to do with filing a motion that was not listed on the Scheduling Order. Rather, they involved motions that were filed after the deadline as set forth in the Order.

In short, Peloton offers no support whatsoever for its position.²

(c) The Motion is not repetitive.

² Notwithstanding the fact that Peloton’s argument makes absolutely no logical or legal sense, the undersigned, in all due diligence, conducted a brief review of recent proceedings before the Commission in which motions for judgment on the pleadings were filed – including the motions, orders issued on same, and the respective scheduling orders issued. Each Scheduling Order issued in those proceedings were devoid of any mention of dispositive motions whatsoever. Further, each motion and order entered were also devoid of any mention that the motion should not have been filed because same was not listed in the Scheduling Order. *See Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd.*, No. 24-01; *Marie Carew d/b/a holiday Shipping v. Maersk Line A/S*, No. 20-17; *20230930-DK-Butterfly-1, Inc. f/k/a Bed, Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, 23-02.

Peloton then goes further, to suggest that, not only is Flexport “flouting” the Scheduling order, but that the Motion is repetitive and thus “The Presiding Officer is not required to substantively address Flexport’s arguments yet again.” [Peloton Motion at p. 2]. Disregarding the fact that Peloton is impertinently instructing the Presiding Officer as to her duties, Peloton provides no rational basis whatsoever for its position.

Peloton relies solely on Commission Rule 69(d) for its assertion that the Motion should be denied as repetitious and, thus, should not be considered. [Peloton Motion at p. 7]. Peloton then states that “the Commission has generally declined to entertain repetitions requests for relief” and cites to four Commission decisions in support of this contention.

However, none of the cited cases had anything remotely to do with any issue at hand. Each of the cases concerns re-filed motions, not separate motions, such as a motion for judgment on the pleadings or a motion to dismiss. The only “support” offered by Peloton is their own conclusory statements, and nothing more.

Peloton next argues, essentially, that since both types of motions apply the same standard to the complaint, “where an argument did not succeed on a motion to dismiss, it cannot now succeed on a motion for judgment on the pleadings.” [Peloton Motion at p. 21].

To be clear, Peloton filed its initial complaint and Flexport moved to dismiss same. The Presiding Officer deferred ruling on the motion, providing Peloton with the opportunity to amend its complaint. Peloton then amended its complaint, which included an exhibit and which contained several additional allegations, particularly with respect to the identification of the operative contracts under which Flexport agreed to be responsible for demurrage and detention charges. Flexport then filed its Answer, which included exhibits which were a direct response to Peloton’s

exhibits or exhibits to which Peloton referred to in its Amended Complaint but deliberately did not include.

Peloton thus fails to appreciate the distinction between the motion to dismiss which attacked the sufficiency of the initial complaint, with the instant motion which seeks judgment based upon the allegations and exhibits contained (or referenced) in the amended complaint. This is not a “second bite at the apple” as Peloton proclaims.

Peloton’s conclusory statements are not only contrary to the law, but make no sense in light of the fact that there is a Federal Rule (and a Commission Rule) providing for the submission of motions for judgment on the pleadings. In short, if Congress intended that a denial of a motion to dismiss would preclude a defendant from moving for judgment on the pleadings, there would be no logical reason to have Fed. R. Civ. P. 12(c) in the first place. Likewise, the Commission would not have made the distinction between the two motions in its Rules. *See* 46 C.F.R. § 502.69(g).

(d) Peloton’s confusing arguments regarding breaches of contract.

Next, Peloton expends considerable effort to dispute Flexport’s contention that this is a breach of contract action, rather than a Shipping Act claim. [Peloton motion at p. 18].

This argument is perplexing since Flexport **did not raise it in its Motion at all.**

What Flexport did argue is that the entire crux of Peloton’s claim – that Flexport should be responsible for the detention and demurrage charges because these were “store door” moves – is completely contradicted by the very agreements which Peloton claims controlled the transactions. That is, these agreements – which Peloton did not attach to its Amended Complaint – unequivocally provide that all transportation were “CY-CY” moves (not store door) and that Peloton would be responsible for demurrage and detention charges.

Notably, Peloton does not even dispute these contentions, but merely argues that “Flexport points to the provisions of select unproduced agreements and tariff (also unproduced), and claims that these provisions both insulate it from liability and entitle it to judgment as a matter of law.” [Peloton Motion at p. 19]. Peloton then notes in a footnote that “Notably, Flexport only attached select agreements to its Answer. The Amended Complaint alleges many of the shipments moved under negotiated rate arrangements (NRAs), however no NRAs are included in the pleadings. While the terms these agreements do not impact Flexport’s alleged Shipping Act violations, there remain numerous disputed facts surrounding the contractual relationships between the parties.” [Peloton Motion at p. 19 at n. 7].

This assertion is just wrong for several reasons.

First, the agreements which Flexport attached to its answer were not “selected” – these consisted of every single agreement identified by Peloton in its Amended Complaint. [Amended Complaint at ¶ 14].

Second, Peloton’s assertions that there are no NRAs in the pleadings is undermined by: (a) Peloton’s reference to same in paragraph 14 of its Amended Complaint; and (b) Exhibit “D” attached to Flexport’s Answer which included the NRAs.

Third, Flexport does not argue that the agreements “insulate” it from liability. Rather, Flexport merely argues that these agreements undermine Peloton’s allegations that Peloton is not responsible for demurrage and detention charges because the shipments were transported under “store door” terms.

This distinction is important and Peloton fails to grasp same. To be clear, Peloton’s claim is that it was not responsible at all for any demurrage or detention because the operative agreements – as identified by Peloton – provided “store door” terms.

Flexport attached the agreements to its Answer, which unequivocally negate Peloton's assertions. At no point does Flexport argue that it is not liable under the Shipping Act because it had contracts in place. That is preposterous. Flexport only argues that Peloton's claim that Flexport breached the Shipping Act by charging any detention and demurrage when the terms of the parties' agreements mandated that Flexport absorb these expenses is directly contradicted by the terms of those very contracts.

(e) Peloton admits to being engaged in a fishing expedition.

As set forth in every paper filed in this proceeding, Flexport has made it plain that, in good faith, it simply has no idea what Flexport's complaint was about. This appears to be a moving target for Peloton.

What is abundantly clear is that Peloton also has no idea what its claims are. It argues that it was not responsible for demurrage or detention based on the terms of the parties' agreements. Yet, Peloton went ahead and paid \$30 million for same despite apparently having no obligation to do so.

Flexport raised this issue in the motion to dismiss. Then, in the Order deferring ruling on same, the Presiding Officer noted that the information regarding the claims, including when the acts or omissions occurred and how much in reparations was sought for each violation, "appears to be available" to Peloton.

In response, Peloton simply included in its Amended Complaint an exhibit which combined demurrage and detention together and provided no explanation as to the basis of any of the claims.

Based upon the statements made in Peloton's cross-motion/response (and its lack of any responses in discovery), however, it is clear that Peloton is engaged in nothing but a fishing expedition to determine whether any claims exist. As Peloton has stated:

- “Peloton opposes the motion on the basis that Peloton is entitled to necessary, relevant fact and expert discovery to fully develop and present its claims....” [Peloton Motion at p. 2].
- “A complete record of Flexport’s practices must be allowed to be developed through targeted fact and expert discovery....” [Peloton Motion at p. 2].
- “Disregarding the Scheduling Order and the parties’ nascent discovery efforts, Flexport filed the instant Motion for Judgment on November 27, 2024. As of December 12, 2024, the parties have not yet received each other’s document productions, written discovery responses or expert disclosures, or conducted any fact or expert witness depositions.” [Peloton Motion at p. 4].
- “There are multiple issues of material fact that remain in dispute requiring relevant, targeted fact and expert discovery, including facts related to the date of accrual for various claims; facts related to Flexport’s performance of its obligations and its responsibility for detention and demurrage charges that accrued; and facts regarding the reasonableness (and lack thereof) of Flexport’s practices.” [Peloton Motion at p. 11].
- “As set forth in its Answer, Flexport disputes these allegations, and developing a full record on them will require completion of fact and expert discovery on the relevant issues.” [Peloton Motion at p. 13].
- “Multiple issues of material fact related to Flexport’s obligations, its performance, and the reasonableness of its practices exist which require both fact and expert discovery on relevant issues. Flexport’s motion cannot succeed while these disputed facts remain.” [Peloton Motion at p. 16].
- “However, determining the accrual date of these claims requires the completion of relevant discovery (including, for example, production of the invoices themselves). [Peloton Motion at p. 16].
- Third, the details and facts necessary to evaluate claim accrual is a factual question that requires relevant, targeted discovery. [Peloton Motion at p. 17].
- “There are multiple facts and documents outside of the pleadings that would bear on that determination, including but not limited to the relevant invoices themselves, their payment terms, and when the invoices were received and paid. It would be premature to attempt to determine the accrual date of the claims without first completing necessary and relevant fact discovery in this proceeding. There are significant material facts in dispute related to the accrual date of Peloton’s claims.” [Peloton Motion at p. 17].

Notably, Peloton is arguing (multiple times) that discovery is needed for Peloton to determine the accrual date of its own claims. Respectfully, if Peloton cannot figure that out, then

discovery is not going to help them. This is also true with respect to the purported practices and procedures of Flexport. Again, Peloton's claims are based on the purported terms of the agreements providing for "store door" terms, by which Peloton would not be responsible for any demurrage or detention charges, regardless of fault. As such, what basis is there to claim that Peloton needs discovery other than that it is fishing for evidence.

III. Conclusion.

The purpose of a motion for judgment on the pleadings is to enable the Court or tribunal to look solely at the pleadings, exhibits attached thereto or referenced therein, and publicly filed documents, to enter judgment, in whole or in part, on the claims presented before it.

Here, Peloton's claims (whatever they are) are undermined by the pleadings themselves. Peloton's illogical and baseless arguments raised in its cross-motion/response just highlight its questionable litigation tactics and utter lack of understanding as to its own claims.

Respectfully, Flexport is entitled to judgment as a matter of law.

Dated: December 19, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on December 19, 2024 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.